

Our Ref: Legal/NSE/ksb

Date: 9 August 2011

The Chief Executive Officer
Nairobi Stock Exchange Limited
1st Floor, Nation Centre
Kimathi Street
NAIROBI



Dear Sir,

**RE: DIAMOND TRUST BANK KENYA LIMITED -
HALF YEAR RESULTS FOR THE PERIOD ENDED 30 JUNE 2011**

We wish to inform you that our Group and Bank results for the period ended 30 June 2011 have been approved by the Board of Directors.

In accordance with the Continuing Listing Obligations, herewith copies of the following:

- i) Interim Report as at 30 June 2011.
- ii) Profit and Loss Account, Balance Sheet and other disclosures in accordance with the Central Bank of Kenya prescribed format, for publication in the newspapers on Wednesday, 10 August 2011.

Board of Directors:
Abdul Samji
(Chairman)(Kenyan)
(Mrs) Nasim Devji
(Managing)(British)
Nauman Dar (Pakistani)
Farid Hamir (American)
Moez Jamal (British)
Nizar Juma (Kenyan)
Amin Merali (Kenyan)
Mwaghazi Mwachofi (Kenyan)
Sukh Dev Nayyar (Indian)
Jamaludin Shamji (Kenyan)

Kindly acknowledge receipt by signing the attached duplicate copy hereof.

Yours faithfully,

Stephen Kodumbe
Company Secretary

Encls....

c.c. The Managing Director
Diamond Trust Bank Kenya Limited
NAIROBI

Diamond Trust Bank
Kenya Limited
Head Office, 8th Floor
Nation Centre, Kimathi Street
P.O. Box 61711 - 00200
Nairobi, Kenya

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DIAMOND TRUST BANK KENYA LIMITED
UNAUDITED GROUP AND BANK RESULTS FOR THE PERIOD ENDED 30 JUNE 2011

	GROUP				BANK			
BALANCE SHEET	Jun. 2011	Mar. 2011	Dec. 2010	Jun. 2010	Jun. 2011	Mar. 2011	Dec. 2010	Jun. 2010
	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000
	Unaudited	Unaudited	Audited	Unaudited	Unaudited	Unaudited	Audited	Unaudited
ASSETS								
Cash (both local and foreign)	1,640,877	1,680,135	1,463,220	1,095,683	837,462	853,694	836,618	592,721
Balances due from Central Banks	5,397,098	4,930,794	5,001,928	3,817,614	3,135,488	2,676,641	2,508,731	2,008,991
Kenya Government securities	8,688,592	8,016,176	9,077,110	7,344,704	8,688,591	8,016,176	9,077,110	7,344,704
Foreign currency Treasury bills and bonds	3,764,501	3,733,785	3,991,383	3,622,594	-	-	-	-
Deposits and balances due from local banking institutions	2,974,151	2,916,370	2,806,184	2,415,069	2,974,151	2,916,370	2,806,184	2,415,069
Deposits and balances due from banking institutions abroad	4,778,561	6,019,012	5,124,454	5,407,448	2,382,328	2,794,561	1,598,569	3,258,937
Kenya Government and other securities held for dealing purposes	-	192,424	410,665	1,133,290	-	192,424	410,665	1,133,290
Income tax recoverable	159,832	17,678	15,827	28,255	137,264	-	-	-
Loans and advances to customers (net)	63,655,331	57,377,927	52,196,641	48,210,153	45,947,678	41,465,821	37,850,277	34,892,547
Investment securities	50,365	48,453	59,928	78,022	50,365	48,453	59,928	73,954
Balances due from group companies	-	-	-	-	225,231	209,198	202,032	-
Investments in associates	3,226	2,737	2,599	-	1	1	1	-
Investment in subsidiary companies	-	-	-	-	1,118,866	1,118,866	1,118,866	897,227
Investments in joint ventures	-	-	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-	-	-
Property and equipment	1,451,740	1,504,718	1,510,816	1,482,734	697,558	716,084	722,474	715,132
Prepaid lease rentals	17,479	15,344	15,348	9,620	-	-	-	-
Intangible assets	218,903	238,231	249,599	199,343	154,912	169,648	180,156	112,655
Goodwill	173,372	173,372	173,372	173,372	-	-	-	-
Deferred tax asset	279,219	274,391	284,966	36,188	248,882	243,320	245,330	10,959
Retirement benefit asset	-	-	-	-	-	-	-	-
Other assets	1,159,001	1,351,337	1,216,137	958,329	657,036	847,662	988,882	652,999
Total Assets	94,412,248	88,492,884	83,600,177	76,012,418	67,255,813	62,268,919	58,605,823	54,109,185
LIABILITIES								
Balances due to Central Bank of Kenya	-	-	399,957	-	-	-	399,957	-
Customer deposits	75,954,610	69,581,571	66,196,600	61,699,703	51,987,965	47,287,122	44,903,973	42,268,668
Deposits and balances due to local banking institutions	1,133,849	2,187,893	754,035	693,275	1,133,849	2,187,893	754,035	693,275
Deposits and balances due to banking institutions abroad	1,337,659	1,356,265	1,654,295	556,611	1,208,543	321,780	830,752	227,842
Other money market deposits	-	-	-	-	-	-	-	-
Borrowed funds	2,237,578	2,090,127	2,109,519	2,045,266	2,237,578	2,090,127	2,020,031	2,045,266
Balances due to group companies	-	-	-	-	-	-	-	-
Current income tax payable	9,987	583,080	355,227	109,905	-	570,720	341,959	108,940
Dividends payable	-	-	-	-	-	-	-	-
Deferred income tax liability	9,315	15,731	-	88	-	-	-	-
Retirement benefit liability	-	-	-	-	-	-	-	-
Other liabilities	2,250,539	1,767,414	1,870,865	1,672,660	1,751,647	1,304,943	1,297,739	1,391,053
Total Liabilities	82,933,537	77,582,081	73,340,498	66,777,508	58,319,582	53,762,585	50,548,446	46,735,044
SHAREHOLDERS' EQUITY								
Paid up capital	782,578	652,148	652,148	652,148	782,578	652,148	652,148	652,148
Share premium	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735
Revaluation reserve	139,593	135,460	86,122	408,324	23,268	21,929	17,241	295,783
Retained earnings	6,788,765	6,147,024	5,627,348	4,763,229	5,817,359	5,258,372	4,814,103	4,113,184
Statutory loan loss reserve	115,291	115,291	115,291	115,291	115,291	115,291	115,291	115,291
Proposed dividends	-	260,859	260,859	-	-	260,859	260,859	-
Capital grants	-	-	-	-	-	-	-	-
Total Shareholders' Equity	10,023,962	9,508,517	8,939,503	8,136,727	8,936,231	8,506,334	8,057,377	7,374,141
Minority Interest	1,454,749	1,402,286	1,320,176	1,098,183	-	-	-	-
Total Equity	11,478,711	10,910,803	10,259,679	9,234,910	8,936,231	8,506,334	8,057,377	7,374,141
Total Liabilities and Shareholders' Equity	94,412,248	88,492,884	83,600,177	76,012,418	67,255,813	62,268,919	58,605,823	54,109,185

OTHER DISCLOSURES

GROUP

BANK

(1) NON -PERFORMING LOANS AND ADVANCES

- (a) Gross non-performing loans and advances
 (b) Interest in suspense
 (c) Total Non-Performing Loans and Advances (a-b)
 (d) Loan loss provisions
 (e) Net Non-Performing Loans (c-d)
 (f) Discounted Value of Securities

(g) Net NPLs Exposure (e-f)

(2) Insider Loans and Advances

- (a) Directors, Shareholders and associates
 (b) Employees

(c) Total Insider Loans and Advances

(3) Off-Balance Sheet Items

- (a) Letters of credit, guarantees, acceptances
 (b) Other contingent liabilities
 (c) Total Contingent Liabilities

(4) Capital Strength

- (a) Core Capital
 (b) Minimum Statutory Capital
 (c) Excess/(Deficiency)
 (d) Supplementary capital
 (e) Total capital (a+d)
 (f) Total risk weighted assets
 (g) Core capital/total deposit liabilities
 (h) Minimum Statutory Ratio
 (i) Excess/(Deficiency) (g-h)
 (j) Core capital/total risk weighted assets
 (k) Minimum Statutory Ratio
 (l) Excess/(Deficiency) (j-k)
 (m) Total capital/total risk weighted assets
 (n) Minimum Statutory Ratio
 (o) Excess/(Deficiency) (m-n)

(5) Liquidity

- (a) Liquidity Ratio
 (b) Minimum Statutory Ratio
 (c) Excess/(Deficiency) (a-b)

Jun. 2011 Shs 000 Unaudited	Mar. 2011 Shs 000 Unaudited	Dec. 2010 Shs 000 Audited	Jun. 2010 Shs 000 Unaudited
(a) Gross non-performing loans and advances	786,321	812,157	787,800
(b) Interest in suspense	86,529	108,411	98,025
(c) Total Non-Performing Loans and Advances (a-b)	699,792	703,746	689,775
(d) Loan loss provisions	661,796	650,470	645,610
(e) Net Non-Performing Loans (c-d)	37,996	53,276	44,165
(f) Discounted Value of Securities	37,996	53,276	44,165
(g) Net NPLs Exposure (e-f)	-	-	-
(2) Insider Loans and Advances			
(a) Directors, Shareholders and associates	1,211,099	1,335,333	1,153,496
(b) Employees	252,937	266,955	236,689
(c) Total Insider Loans and Advances	1,464,036	1,602,288	1,390,185
(3) Off-Balance Sheet Items			
(a) Letters of credit, guarantees, acceptances	7,930,027	8,050,098	7,572,267
(b) Other contingent liabilities	16,705,233	15,101,700	9,305,636
(c) Total Contingent Liabilities	24,635,260	23,151,798	16,877,903
(4) Capital Strength			
(a) Core Capital			
(b) Minimum Statutory Capital			
(c) Excess/(Deficiency)			
(d) Supplementary capital			
(e) Total capital (a+d)			
(f) Total risk weighted assets			
(g) Core capital/total deposit liabilities			
(h) Minimum Statutory Ratio			
(i) Excess/(Deficiency) (g-h)			
(j) Core capital/total risk weighted assets			
(k) Minimum Statutory Ratio			
(l) Excess/(Deficiency) (j-k)			
(m) Total capital/total risk weighted assets			
(n) Minimum Statutory Ratio			
(o) Excess/(Deficiency) (m-n)			
(5) Liquidity			
(a) Liquidity Ratio			
(b) Minimum Statutory Ratio			
(c) Excess/(Deficiency) (a-b)			

Jun. 2011 Shs 000 Unaudited	Mar. 2011 Shs 000 Unaudited	Dec. 2010 Shs 000 Audited	Jun. 2010 Shs 000 Unaudited
689,929	678,987	682,849	706,981
79,089	98,193	93,366	69,651
610,840	580,794	589,483	637,330
609,731	579,685	588,379	510,863
1,109	1,109	1,104	126,467
1,109	1,109	1,104	126,467
-	-	-	-
1,103,734	1,224,067	1,056,199	1,010,690
217,692	195,094	168,258	143,509
1,321,426	1,419,161	1,224,457	1,154,199
5,955,171	6,223,995	5,925,310	3,792,027
15,606,725	14,153,122	8,745,297	12,650,499
21,561,896	20,377,117	14,670,607	16,442,526
6,897,431	6,848,912	6,636,997	5,520,061
500,000	500,000	500,000	350,000
6,397,431	6,348,912	6,136,997	5,170,061
1,466,176	1,378,637	1,335,641	1,350,758
8,363,607	8,227,549	7,972,638	6,870,819
50,103,750	47,615,688	43,248,851	38,723,965
13.2%	14.4%	14.7%	13.0%
8.0%	8.0%	8.0%	8.0%
5.2%	6.4%	6.7%	5.0%
13.8%	14.4%	15.3%	14.3%
8.0%	8.0%	8.0%	8.0%
5.8%	6.4%	7.3%	6.3%
16.7%	17.3%	18.4%	17.7%
12.0%	12.0%	12.0%	12.0%
4.7%	5.3%	6.4%	5.7%
32.6%	34.4%	35.8%	38.1%
20.0%	20.0%	20.0%	20.0%
12.6%	14.4%	15.8%	18.1%

MESSAGE FROM DIRECTORS

The above balance sheet and profit and loss account are extracts from the group's financial statements. In line with the practice adopted in recent years, the directors do not propose the payment of an interim dividend.

Signed: Abdul Samji
Chairman

Nasim Devji
Managing Director

NAIROBI STOCK EXCHANGE RELEASE

DIAMOND TRUST BANK KENYA LIMITED

Group Results for six months ended 30th June 2011

Consolidated Income Statement

	Notes	30 June 2011 Shs '000	30 June 2010 Shs '000
Gross Operating Income		<u>5,408,486</u>	<u>5,115,029</u>
Interest income		4,129,245	3,599,251
Interest expense		(1,151,441)	(1,375,629)
Net interest income		<u>2,977,804</u>	<u>2,223,622</u>
Other operating income		1,279,241	1,515,778
Operating expenses		(1,974,539)	(1,676,315)
Provision for bad and doubtful debts		(197,834)	(333,537)
Profit from operations		<u>2,084,672</u>	<u>1,729,548</u>
Share of results of associate after tax		410	-
Finance costs		(29,145)	(28,182)
Profit before tax		<u>2,055,937</u>	<u>1,701,366</u>
Tax - Current		(573,204)	(489,883)
- Deferred tax		(5,066)	9,484
Profit after tax		<u>1,477,667</u>	<u>1,220,967</u>
Non controlling interests		(139,970)	(60,116)
Profit after tax and non controlling interests		<u>1,337,697</u>	<u>1,160,851</u>
Earnings per share (Shs)			
- Basic	2	6.84	7.12
- Diluted	2	<u>6.84</u>	<u>5.93</u>

In line with the practice adopted in recent years, the directors do not propose the payment of an interim dividend.

By order of the Board

Stephen Kodumbe

DIAMOND TRUST BANK KENYA LIMITED

Consolidated statement of financial position

	Notes	30 June 2011 Shs '000	30 June 2010 Shs '000	31 December 2010 Shs '000
Assets				
Cash		1,640,877	1,095,683	1,463,220
Balances due from Central Bank of Kenya		5,397,098	3,817,614	5,001,928
Government securities		8,688,592	7,344,704	9,077,110
Foreign currency treasury bills and bonds		3,764,501	3,622,594	3,991,383
Deposits and balances due from local banking institutions		2,974,151	2,415,069	2,806,184
Deposits and balances due from banking institutions abroad		4,778,561	5,407,448	5,124,454
Kenya Government and other securities held for dealing purposes		-	1,133,290	410,665
Income tax recoverable		159,832	28,255	15,827
Loans and advances to customers (net)		63,655,331	48,210,153	52,196,641
Investment securities		50,365	78,022	59,928
Investment in associates		3,226	-	2,599
Property and equipment		1,451,740	1,482,734	1,510,816
Prepaid lease rentals		17,479	9,620	15,348
Intangible assets – software costs		218,903	199,343	249,599
Intangible assets - goodwill		173,372	173,372	173,372
Deferred tax asset		279,219	36,188	284,966
Other assets		1,159,001	958,329	1,216,137
Total assets		94,412,248	76,012,418	83,600,177
Liabilities				
Balances due to Central Bank of Kenya		-	-	399,957
Customer deposits		75,954,610	61,699,703	66,196,600
Deposits and balances due to local banking institutions		1,133,849	693,275	754,035
Deposits and balances due to banking institutions abroad		1,337,659	556,611	1,654,295
Long-term borrowing – subordinated debt	3	2,237,578	2,045,266	2,109,519
Current income tax payable		9,987	109,905	355,227
Deferred income tax liability		9,315	88	-
Other liabilities		2,250,539	1,672,660	1,870,865
Total liabilities		82,933,537	66,777,508	73,340,498
Shareholders' equity				
Share capital		782,578	652,148	652,148
Share premium		2,197,735	2,197,735	2,197,735
Capital reserves		139,593	408,324	86,122
Retained earnings		6,788,765	4,763,229	5,627,348
Statutory loan loss reserve		115,291	115,291	115,291
Proposed dividend		-	-	260,859
Equity attributable to shareholders of parent		10,023,962	8,136,727	8,939,503
Non controlling interests		1,454,749	1,098,183	1,320,176
Total equity		11,478,711	9,234,910	10,259,679
Total liabilities and shareholders' equity		94,412,248	76,012,418	83,600,177

DIAMOND TRUST BANK KENYA LIMITED

Consolidated statement of changes in equity (continued)

	Share capital		Share premium	Other reserves	Retained earnings	Statutory loan loss reserve	Proposed dividends	Attributable to equity holders of the Bank	Non controlling interests	Total
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
Balance at 1 January 2011	652,148	2,197,735	86,122	5,627,348	115,291	260,859	8,939,503	1,320,176	10,259,679	
Adjustment of reserves on adoption of IFRS 9	(i)	-	-	12,722	(45,850)	-	(33,128)	-	(33,128)	
	652,148	2,197,735	98,844	5,581,498	115,291	260,859	8,906,375	1,320,176	10,226,551	
Bonus shares issued	130,430	-	-	(130,430)	-	-	-	-	-	
Comprehensive income										
Profit for the year	-	-	-	1,337,697	-	-	1,337,697	139,970	1,477,667	
Other comprehensive income										
Net fair value changes in (FVTOCI) equity investments	-	(6,694)	-	-	-	-	(6,694)	-	(6,694)	
Statutory loan loss reserve	-	47,443	-	-	-	-	47,443	8,043	55,486	
Translation adjustment	-	40,749	1,337,697	-	-	-	1,378,446	148,013	1,526,459	
Dividends:										
- Final for 2010 paid	-	-	-	-	-	(260,859)	(260,859)	(13,440)	(274,299)	
Balance at 30 June 2011	782,578	2,197,735	139,593	6,788,765	115,291	-	10,023,962	1,454,749	11,478,711	

Notes

- (i) The Group has adopted IFRS 9 Financial Instruments in 2011 in advance of its effective date. The Group has chosen 1 January 2011 as its date of initial application (i.e. the date on which the Group has assessed its existing financial assets). Investments in Government securities are

DIAMOND TRUST BANK KENYA LIMITED**Statement of Cashflows****Six months ended 30 June**

	2011	2010
	Shs '000	Shs '000
Net cash (used in) / generated from operating activities	(486,920)	2,251,926
Cash flow from investing activities		
Purchase of property, equipment and intangible assets	(120,125)	(213,327)
Proceeds on sale of property and equipment	1,303	679
Exchange rate adjustments on balances due from group companies	(21,756)	-
Sale of investment	1,063,937	(4,068)
Net cash generated from (used in) investing activities	923,359	(216,716)
Cash flows from financing activities		
Finance costs	(29,098)	(27,876)
Exchange rate adjustments on subordinated debt	217,500	152,250
Dividends paid	(274,299)	(262,340)
Net cash used in financing activities	(85,897)	(137,966)
Net increase in cash and cash equivalents	350,542	1,897,244
Cash and cash equivalents at start of the period	8,283,756	7,658,020
Translation difference	35,887	(142,495)
Cash and cash equivalents at the end of period	8,670,185	9,412,769

DIAMOND TRUST BANK KENYA LIMITED

Notes to the consolidated interim financial statements (Continued)

5 Business segments information

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Board of Directors in order to allocate resources to the segment and to assess its performance. Information reported to the Group's Board for the purposes of resource allocation and assessment of segment performance is focused on geographical regions.

The reportable operating segments derive their revenue primarily from banking services including current, savings and deposits accounts, credit cards, asset finance, money transmission, treasury and commercial lending. The parent Bank also operates a fully owned insurance agency in Kenya. The assets and profit of the agency are not material and make up less than 10% of the combined assets and profit of the group.

The following is the segment information as at 30 June 2010 and 2011:

At 30 June 2010

	Kenya Shs '000	Tanzania Shs '000	Others Shs '000	Total Shs '000	Consolidation adjustments Shs '000	Group Shs '000
Total income from external customers	3,852,460	648,226	610,730	5,111,416	3,613	5,115,029
Total expenditure	(2,347,627)	(469,357)	(593,066)	(3,410,050)	(3,613)	(3,413,663)
Segment profit before tax	1,504,833	178,869	17,664	1,701,366		1,701,366
Current and deferred tax charge	(413,651)	(53,659)	(13,089)	(480,399)		(480,399)
Segment profit after tax	1,091,182	125,210	4,575	1,220,967		1,220,967
Segment assets	54,215,887	12,493,214	10,219,510	76,928,611	(916,193)	76,012,418